

29-4d The Federal Funds Rate

If you read about U.S. monetary policy in the news, you will find much discussion of the federal funds rate. This raises several questions:

Q:

What is the federal funds rate?

A:

The

federal funds rate (the interest rate at which banks make overnight loans to one another) is the short-term interest rate that banks charge one another for loans. If one bank finds itself short of reserves while another bank has excess reserves, the second bank can lend some reserves to the first. The loans are temporary—typically overnight. The price of the loan is the federal funds rate.

Q:

How is the federal funds rate different from the discount rate?

A:

The discount rate is the interest rate banks pay to borrow directly from the Federal Reserve through the discount window. Borrowing reserves from another bank in the federal funds market is an alternative to borrowing reserves from the Fed, and a bank short of reserves will typically do whichever is cheaper. In practice, the discount rate and the federal funds rate move closely together.

Q:

Does the federal funds rate matter only for banks?

A:

Not at all. Only banks borrow directly in the federal funds market, but the economic impact of this market is much broader. Because different parts of the financial system are highly interconnected, interest rates on different kinds of loans are strongly correlated with one another. So when the federal funds rate rises or falls, other interest rates often move in the same direction.

Q:

What does the Fed have to do with the federal funds rate?

A:

In recent years, the Fed has set a target goal for the federal funds rate. When the Federal Open Market Committee meets approximately every six weeks, it decides whether to raise or lower that target.

Q:

How can the Fed make the federal funds rate hit the target it sets?

A:

Although the actual federal funds rate is set by supply and demand in the market for loans among banks, the Fed can use open-market operations to influence that market. For example, when the Fed buys bonds in open-market operations, it injects reserves into the banking system. With more reserves in the system, fewer banks find themselves needing to borrow reserves to meet reserve requirements. The fall in demand for borrowing reserves decreases the price of such borrowing, which is the federal funds rate. Conversely, when the Fed sells bonds and withdraws reserves from the banking system, more banks find themselves short of reserves, and they bid up the price of borrowing reserves. Thus, open-market purchases lower the federal funds rate, and open-market sales raise the federal funds rate.

Q:

But don't these open-market operations affect the money supply?

A:

Yes, absolutely. When the Fed announces a change in the federal funds rate, it is committing itself to the open-market operations necessary to make that change happen, and these open-market operations will alter the supply of money. Decisions by the FOMC to change the target for the federal funds rate are also decisions to change the money supply. They are two sides of the same coin. Other things being equal, a decrease in the target for the federal funds rate means an expansion in the money supply, and an increase in the target for the federal funds rate means a contraction in the money supply.

QuickQuiz

8. Which of the following actions by the Fed would tend to increase the money supply?

- a. an open-market sale of government bonds
- b. a decrease in reserve requirements
- c. an increase in the interest rate paid on reserves

d. an increase in the discount rate on Fed lending

9. If the Fed raises the interest rate it pays on reserves, it will ____ the money supply by increasing ____ .

a. decrease; the money multiplier

b. decrease; excess reserves

c. increase; the money multiplier

d. increase; excess reserves

10. In a system of fractional-reserve banking, even without any action by the central bank, the money supply declines if households choose to hold ____ currency or if banks choose to hold ____ excess reserves.

a. more; more

b. more; less

c. less; more

d. less; less